
CASH IN

From salary/severance	\$200,000
From sale of home	129,000
From sale of stocks, bonds, notes	150,000
From sale of other assets	49,000
From interest income	114,000
Total	\$642,000

CASH OUT

Living expenses	\$84,000
Taxes (as shown above)	146,000
Total	\$230,000
Net increase in cash	412,000
Add: Beginning cash	58,000
Total cash for retirement	\$470,000

JOHN AND MARY DOE ARE RICH

Before they retired John and Mary had a total net worth of \$435,000. After they retire and convert their assets to cash, their liquid net worth jumps to \$470,000 and they have \$49,000 of "other assets." They paid \$146,000 in state and federal income taxes. Nobody likes to pay taxes. But taxes arise when we convert assets to cash, and we have to convert assets to cash to lower our living expenses and put cash in the bank. The benefits—lower expenses plus interest income—pay the taxes and then some.

I had to make assumptions to do the above example. I assume a state tax rate, net of federal benefit, of a flat 6 percent. I ignore the benefit of itemized deductions in 1988, when the Does still own their home. Assuming John and Mary have IRAs included in stocks and bonds, I ignore the benefit of tax-free IRA income. I assume that net equity in their home includes \$30,000 of their own money (down payment plus costs and improvements) and a \$99,000 gain. I